



India's EV & ESS Market: What's Next?



Neeraj Kumar Singal

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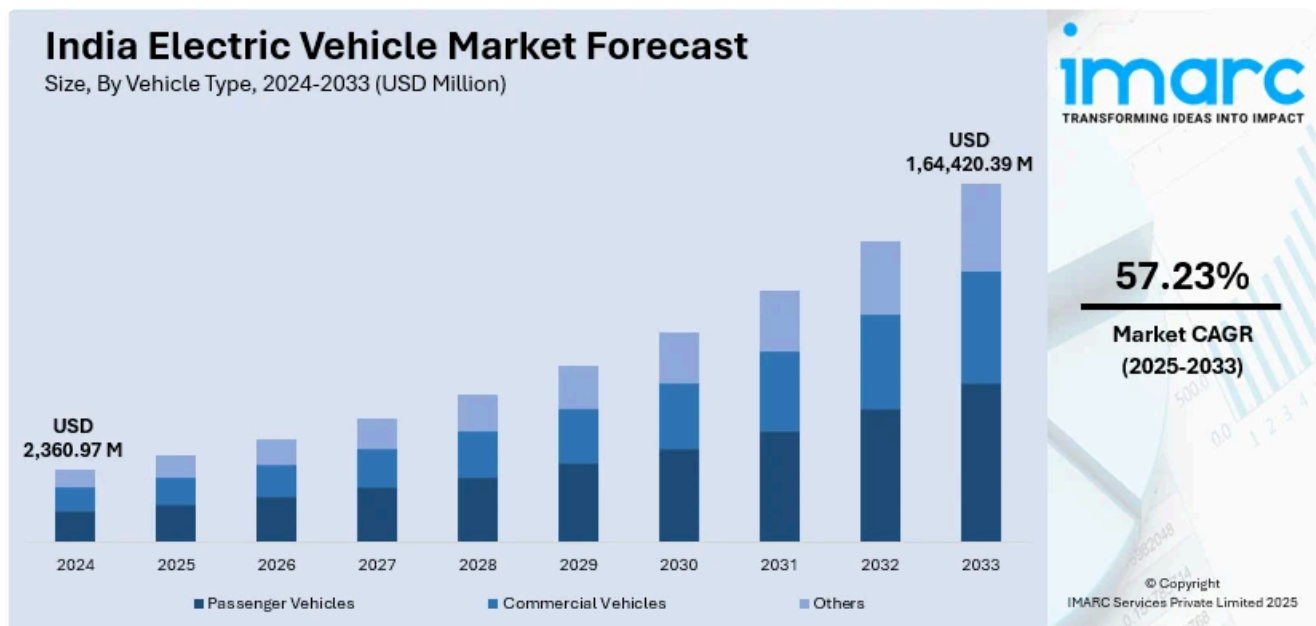
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India's electric vehicle and energy storage systems markets are experiencing unprecedented transformation, with the EV sector witnessing fierce competition among leading players while recording impressive growth trajectories. **The electric passenger vehicle segment grew by 52% year-on-year in May 2025, reaching 12,197 units, with Tata Motors, MG Motor, and Mahindra commanding 87.3% market share despite shifting leadership dynamics.**

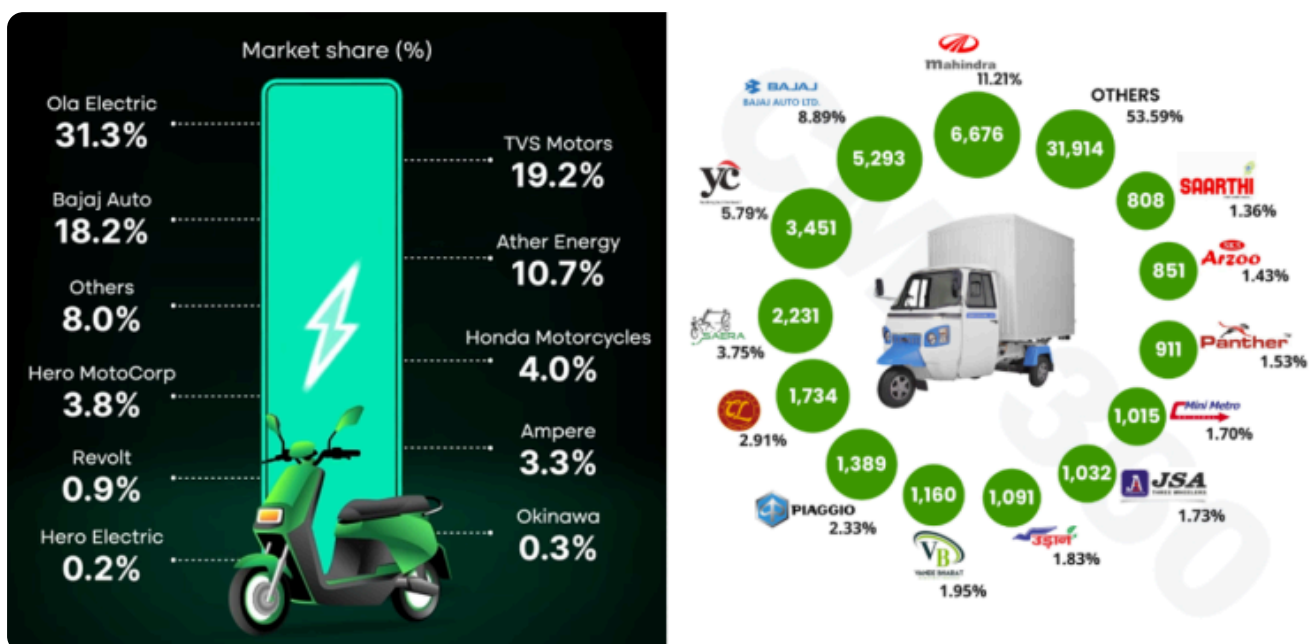
Meanwhile, the **energy storage systems market has expanded to 8.33 GW in 2024 and is projected to reach 15.56 GW by 2033**, driven by renewable energy integration and government incentives. With EV penetration expected to reach **15% of passenger vehicle sales by FY30**, up from the current 3%, and energy storage demand fueled by India's ambitious renewable energy targets, both sectors are poised for exponential growth supported by policy frameworks, technological advances, and increasing consumer acceptance.

Competitive Landscape Reshaping India's EV Market

The Indian electric vehicle market is witnessing a dramatic shift in competitive dynamics as traditional leader Tata Motors faces mounting pressure from aggressive competitors. In May 2025, Tata Motors registered 4,319 units with a concerning 19% year-on-year decline, marking its market share fall to 35.4% from a previously dominant position. This decline represents a significant erosion of 3,078 basis points compared to the same period last year, highlighting how rapidly the competitive landscape is evolving. The company's core models including the **Nexon EV, Tiago EV, and Punch EV** remain popular, but they are increasingly challenged by fresher alternatives that match or exceed Tata's performance in value proposition, technological appeal, and brand perception.



MG Motor India has emerged as the most formidable challenger, delivering 3,732 EVs in May 2025—a remarkable 147% increase over the previous year. This surge has elevated MG's market share to 30.6%, representing a gain of 1,178 basis points, positioning the company just 587 units behind Tata Motors. The success stems from strong performance across MG's portfolio, including the Comet and ZS EV models, with the Windsor serving as the primary growth driver. The company has strategically enhanced its value proposition by introducing larger battery options with extended range, demonstrating how product innovation continues to shape market preferences.

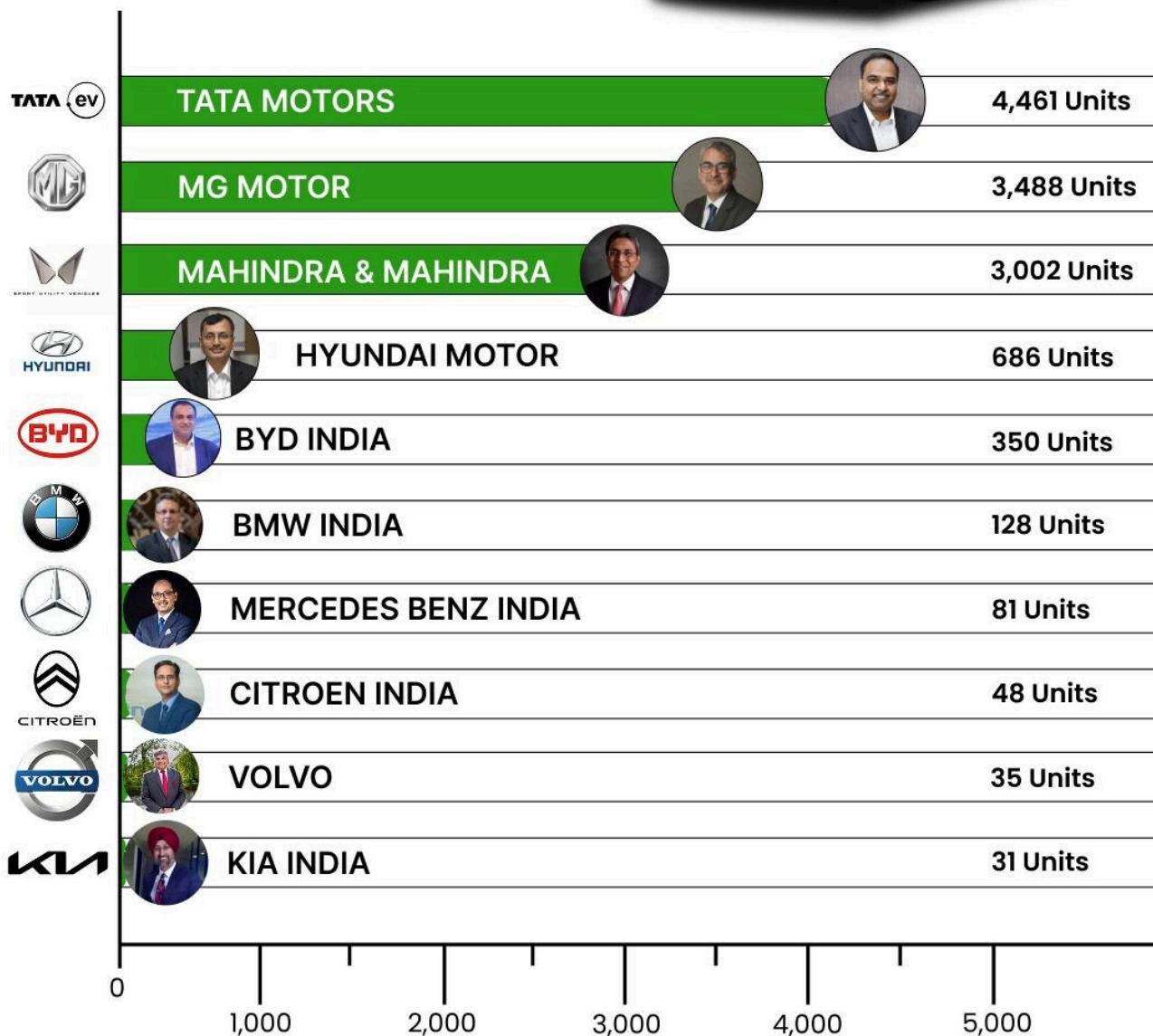


Mahindra has posted the most spectacular growth trajectory, recording a staggering 338% year-on-year jump to **2,604 units in May 2025**, compared to just 594 units in the previous year. This exponential growth establishes Mahindra as the fastest-growing player in the segment, suggesting that its product strategy and market approach are resonating strongly with consumers. The combined performance of these three manufacturers underscores the intense competition and rapid market evolution, with traditional hierarchies being challenged by innovative approaches and compelling product offerings.

Policy Framework Driving Market Transformation

India's electric vehicle adoption is significantly influenced by comprehensive policy frameworks, most notably the FAME (Faster Adoption and Manufacturing of Electric Vehicles) initiative that has evolved through two distinct phases. FAME II, introduced in April 2019 with an outlay of INR 10,000 crore, focuses primarily on encouraging EV adoption through demand incentives and charging infrastructure development. The policy provides incentives of INR 10,000 for every kWh of battery capacity for all EVs except e-buses, with coverage extending to electric two-wheelers and commercial vehicles including e-rickshaws, e-3Ws, e-4Ws, and e-buses.

4 Wheeler EV Sales in April 2025



Source: Vahan Dashboard as of May 3, 2025. Data as per 1378 out of 1438 RTOs across 35 out of 36 state/UTs

The policy landscape is becoming increasingly sophisticated, with the government introducing targeted measures to boost manufacturing and adoption simultaneously. Recent developments include a new EV policy featuring reduced tariffs of 15% on imports for manufacturers committing to establish manufacturing facilities in India. However, ongoing trade negotiations with the US, UK, and European Union present potential challenges, as these partners are seeking broader automotive tariff concessions that could impact the effectiveness of India's EV-specific incentives. Under the UK trade deal, India has already agreed to reduce automotive tariffs to 10% under a quota system, though small EVs have been strategically excluded from this arrangement.

Incentives on offer under phase II of FAME

▶ **₹10,000 per kW**
Planned incentive on the basis of battery size

▶ **₹20,000 per kW**
Planned incentive for electric buses

▶ **₹8,596 crore**
Total incentive sanctioned

₹1,000 crore
Incentive for setting up charging stations

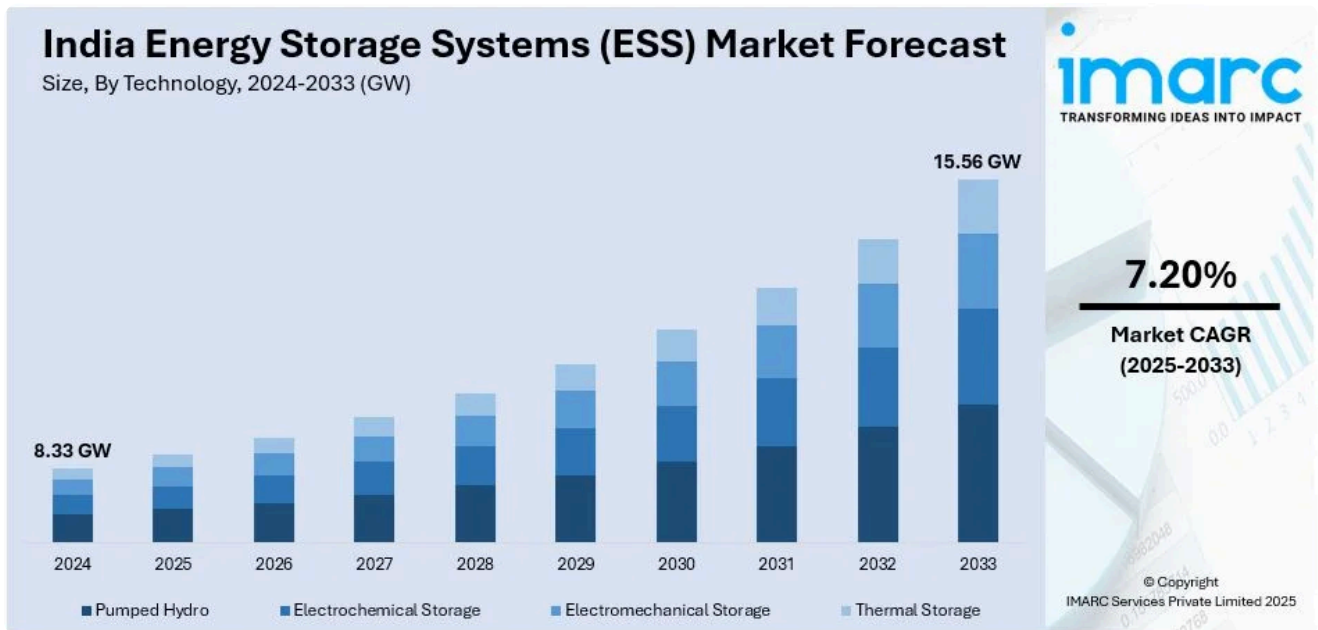


Source: Heavy industries ministry

The policy environment has demonstrated tangible results, with cumulative January-May 2025 retail sales reaching **59,444 units**, recording 44% growth year-on-year. Research agency **ICRA** projects that EV penetration in passenger vehicle sales will grow five-fold by FY30 to 15%, driven by expanded product portfolios, improved charging infrastructure, lower battery prices, and reduced running costs. This transformation is supported by continued government focus on municipal e-buses and fast-charging station development, while growing competition has prompted automakers to seek public market funding for expansion.

Energy Storage Systems Market Expansion

India's energy storage systems market is experiencing robust growth driven by the nation's ambitious renewable energy integration goals and grid modernization requirements. **The market reached 8.33 GW in 2024 and is projected to expand to 15.56 GW by 2033, representing a compound annual growth rate of 7.20%.** This expansion reflects the critical role energy storage plays in addressing the intermittency challenges associated with solar and wind power integration, as India works toward achieving its renewable energy mix targets and decarbonization objectives.



The advanced energy storage systems segment presents even more compelling growth prospects, with the market valued at **USD 1.66 billion in FY2024** and **projected to reach USD 3.36 billion by FY2032**, exhibiting a **CAGR of 8.80%**. This growth trajectory is supported by increasing investments in power infrastructure, rising demand for grid stability solutions in urban areas, and the expanding adoption of electric vehicles. The convergence of these factors creates a synergistic effect where EV growth drives battery demand while simultaneously contributing to the need for sophisticated energy storage solutions to manage grid stability.

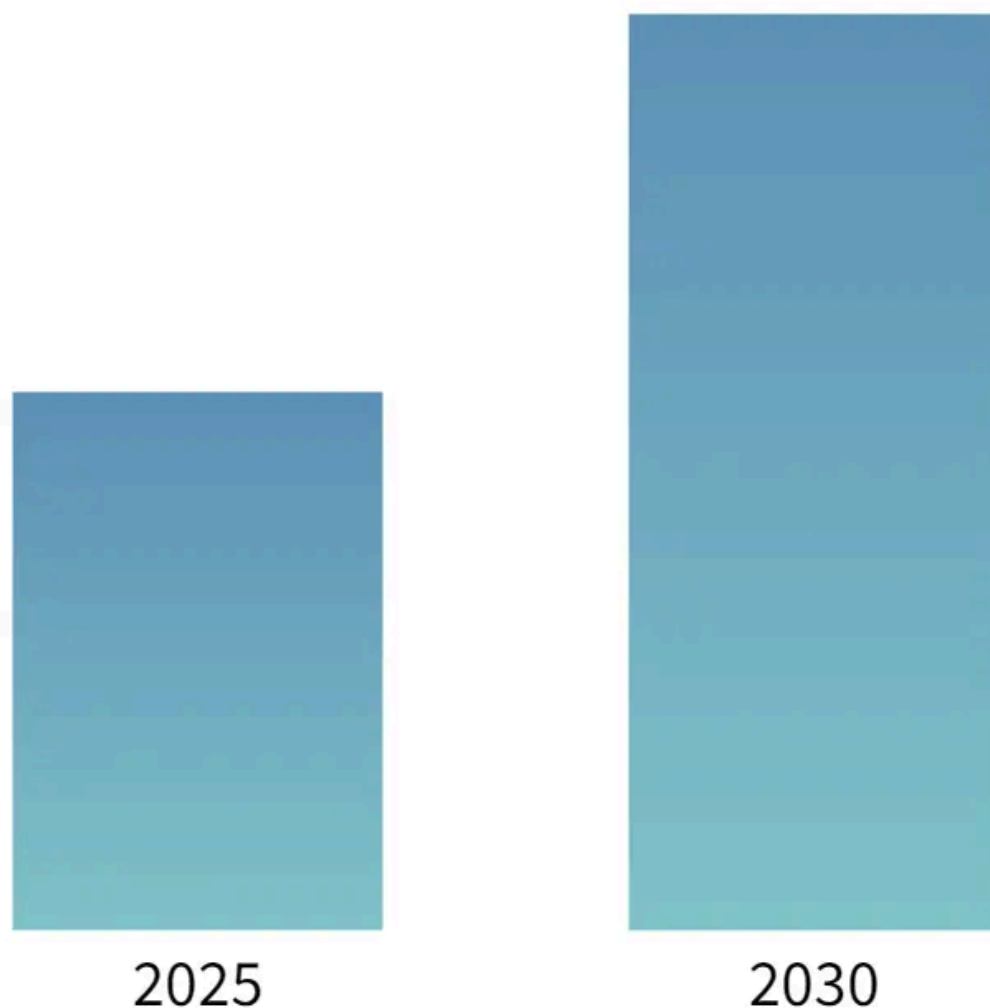


Lithium-ion battery adoption represents a key technological trend shaping the energy storage landscape, with demand reaching approximately 15 GWh in FY2024, primarily driven by consumer electronics and the EV sector. This demand is anticipated to surge to **127 GWh by FY2030**, reflecting the technology's superior characteristics including high energy density, longer lifespan, and improved efficiency compared to conventional lead-acid batteries. The declining costs of lithium-ion batteries, driven by manufacturing advances and supply chain optimization, are accelerating adoption in both grid-scale and distributed energy storage applications.

India Battery Energy Storage Systems Market

Market Size

CAGR 11.20%



Source : Mordor Intelligence



Future Outlook and Strategic Implications

The convergence of electric vehicle adoption and energy storage systems development positions India at the forefront of a comprehensive mobility and energy transformation. Current EV penetration stands at just 3% of total car sales, compared to over 25% projected globally by 2025, indicating substantial growth potential. With India being the world's largest car market, this low

penetration rate represents both a challenge and an enormous opportunity, particularly as barriers such as limited model availability, high selling prices, and inadequate charging infrastructure are progressively addressed through policy interventions and private sector investments.

Investment momentum in the EV sector remains strong, with companies securing **\$1 billion** in funding from venture capital, private equity, and commercial banks in 2024. EV manufacturers alone raised approximately **\$671 million**, while landmark events such as Ola Electric becoming India's first pure-play EV company to be publicly listed signal growing investor confidence in the sector's long-term prospects. The success of major IPOs, including Hyundai India's record-breaking public offering, demonstrates capital market appetite for automotive transformation investments.

Conclusion

India's electric vehicle and energy storage systems markets are experiencing synchronized growth that reflects the country's broader transition toward sustainable transportation and clean energy infrastructure. The competitive dynamics in the EV sector demonstrate healthy market maturation, with established leaders facing credible challenges from innovative competitors, ultimately benefiting consumers through improved products and competitive pricing. The policy framework, anchored by FAME II and complemented by targeted manufacturing incentives, provides stable regulatory support while addressing market development challenges through infrastructure investment and demand stimulation.

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